OTS-04- Volatility Measurement, Forecasting, and Structuring Volatility Trades

Overview:

In this session, we discuss volatility measuring and forecasting, volatility trading, why volatility premiums exist, the volatility premium in multiple asset classes, covered calls and how to select strikes and expirations to structure volatility trades.

Key Takeaways:

- Volatility measurement and forecasting
- Contextualising forecasts
- Volatility Trading
- Why Does Premium Exist?
- Volatility Premium in Different Asset Classes
- Covered calls
- Using the term structure as a predictor
- Equity options and earnings
- Selecting strikes and expirations
- Hedging in practice

Pre-requisites:

- Options Primer completion is mandatory
- OTS -01 (i.e., General Trading Theory)
- OTS -02 (i.e., Volatility Trading and Variance Premium)
- OTS -03 (i.e., Options Pricing Models and Greeks)

Recommended time for the session & related coursework – 10 hours